

Table 63.5 Size Statistics

Description	Bull Market	Bear Market
Tall pattern performance	47%	26%
Short pattern performance	49%	23%
Median height as a percentage of breakout price	22.4%	27.6%
Narrow pattern performance	47%	28%
Wide pattern performance	49%	21%
Median width	87 days	72 days
Short and narrow performance	48%	27%
Short and wide performance	49%	15%
Tall and wide performance	48%	23%
Tall and narrow performance	46%	31%

Table 63.5 shows pattern size statistics.

Height. Tall patterns perform better than short ones but only in bear markets. That's disappointing because height is the best predictor of future performance that I've found. Measure the height of the chart pattern from tallest peak to lowest valley and divide by the breakout price. If the result is greater than the median shown in the table, then you have a tall pattern.

Width. Wide patterns perform better in bull markets and narrow ones do substantially better in bear markets. I used the median length, not the average, as the separator between narrow and wide.

Height and width combinations. You'll want to avoid trading bull market patterns that are both tall and narrow. They perform worst. Tall and narrow patterns in bear markets perform best. Isn't that odd? Patterns both short and wide outperform in bull markets and do worst in bear markets.

Hold on. Let me check the numbers.

Yup. They are correct. The bull market samples are more than 500 for each row, so they are solid. The bear market samples are far fewer. They start at